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BUSINESS • EARNINGS

Lockheed Martin Rides New Wave of Military Spending

World's largest defense contractor sees 2017 revenue rising 7%

By Doug Cameron

Updated Oct. 25, 2016 at 3:12 pm ET



Orders for F-35 jet fighters are expected to help boost Lockheed Martin's 2017 revenue by 7%. REUTERS

Lockheed Martin Corp. LMT **-0.36%** ▼ expects sales next year to grow at the fastest clip in a decade as the reshaped company rides a new wave of military spending at home and abroad.

The world's largest defense contractor said orders for its F-35 jet fighters, missile defense systems and Sikorsky helicopter business will boost revenue by 7% to around \$50 billion in 2017, a welcome boon after seven years of broadly flat sales.

The F-35 still faces production and funding challenges. But orders from U.S. allies such as the U.K. and Japan are expected to push exports to around 30% of company sales in the next few years, double the level four years ago.

The bullish outlook combined with forecast-beating quarterly earnings and assurances that pension payments are under control helped to drive Lockheed shares up 7% on Tuesday.

Chief Executive Marillyn Hewson has reshaped the company over the past year, buying Sikorsky for \$9 billion and selling its low-margin government information-technology business to Leidos Holdings Inc.

Lockheed's fortunes remain closely tied to the F-35 fighter, which already accounts for a fifth of sales and continues to run into problems even after its long-delayed entry into service with the U.S. Air Force and Marine Corps.

Problems with the fuel tanks have grounded some planes and slowed deliveries. Chief Financial Officer Bruce Tanner said on an investor call that Lockheed wouldn't catch up with fixes on the production line until well into next year.

A bigger issue is whether expected global orders for around 3,000 of the jets will materialize while the Pentagon and other militaries juggle budget pressures such as replacing much of the U.S. nuclear deterrent.

Lockheed is due to end production of its F-16 jet fighter next year unless it wins fresh orders. The F-35 is less profitable than the older jet, and the Pentagon is pushing for better deals.

The Pentagon said it may split a \$14 billion order for the next two batches of F-35s after months of talks that have left the two sides unable to agree on price and other terms. It may now award a deal for just the next batch, leaving Lockheed to shoulder more of the cost of paying suppliers.

The F-35 is an important contributor to sales and earnings at other contractors, including Northrop Grumman Corp and BAE Systems PLC.

Lockheed's third-quarter profit of \$2.4 billion was up from \$865 million a year earlier as per-share earnings rose to \$7.93 from \$2.77, and sales climbed 15% to \$11.55 billion. For the full year, it boosted earnings expectations to about \$12.10 a share and revenue to \$46.5 billion.

Lockheed shares were recently up 7% at \$248.38, erasing half their losses since hitting an all-time high in August.

Corrections & Amplifications:

The company's missiles and space systems businesses suffered from tepid sales in the quarter. An earlier version of this article incorrectly stated those sales were in the IT and space systems businesses. (Oct. 25)

Rivals Boeing Co, Northrop and General Dynamics Corp. report quarterly earnings on Wednesday.

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